

Money Mistake: You Invested in Real Estate

THE FIX: GO TO WAR ON YOUR MORTGAGE FIRST

I once met an elderly man from Minneapolis. It was after a talk I gave about O’Leary Funds. He was from an Eastern European country that had shifted borders so many times during World War II that the country he was born in has a different name today. He was wearing a pair of dusty pants, a hat, and suspenders. We got to talking about investing in stocks and bonds, and he shook his head and held up his hand. He told me he invested only in property. That was it. I winced. I like to see diversification in a portfolio, especially when someone is investing later in life. But a few more minutes of chatting and it soon became apparent that this old, unkempt man owned huge swaths of residential and commercial real estate! This is a man who fled fascists as a child, who arrived in the United States with a fistful of papers and a few coins, who couldn’t speak English, and who today is a multimillionaire. It blew my mind.

“How did you do it?” I asked.

“I went to war every day.”

“War? Against what?”

“My mortgage,” he said, with a twinkle in his eye.

Real estate is a tricky investment. I don’t recommend that real estate compose more than 20 percent of any investment portfolio, but people’s homes often constitute as much as 80 percent of their portfolio. It’s their one big investment, which they plan to liquidate for their retirement. But too many people make the same mistake when calculating the true value of their investments. They total the market price of the property they own and call that their worth. But it’s not. If you live in a \$300,000 home and have only \$60,000 of it in equity, you don’t own \$300,000 worth of real estate. You own \$60,000. The bank owns the rest. In fact, you’re worth less, because to liquidate that asset, you’ll lose another 12 to 15 percent in fees, to your lawyer, your real estate agent, the land transfer tax, and those two guys hauling boxes. Don’t even get me started on what you’re going to get dinged in taxes.